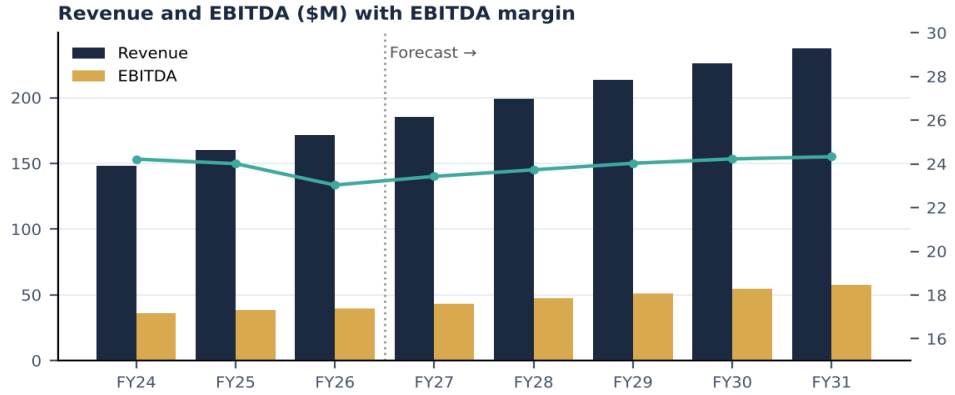
Valuation and outlook — Base case

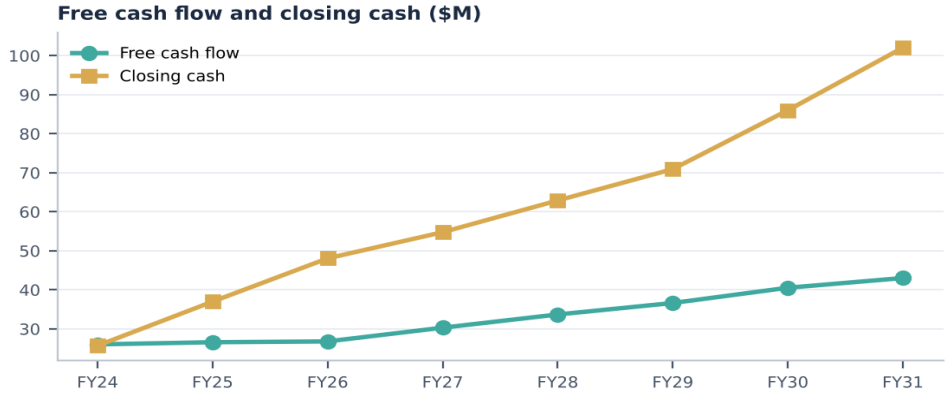
3-statement model with DCF · FY24–FY26 actual, FY27–FY31 forecast · USD · built to CFI colour standard

ENTERPRISE VALUE	EQUITY VALUE	FY31 REVENUE	FY31 EBITDA MARGIN	5-YR FREE CASH FLOW	TERMINAL VALUE
$425.3M	**$460.4M**	**$237.5M**	**24.3%**	**$184.2M**	**69% of EV**
10.8x FY26 EBITDA	net cash $35.1M added	6.7% CAGR from FY26	FY26: 23.0%	FY27–FY31 cumulative	WACC 11% · g 2.5%

Key messages

- Under the Base case revenue grows from $171.7M (FY26A) to $237.5M by FY31 — a 6.7% CAGR — while EBITDA margin moves from 23.0% to 24.3%.
- Cumulative FY27–31 free cash flow is $184.2M; closing cash reaches $102.0M and net debt/EBITDA falls to -1.77x.
- DCF enterprise value is $425.3M (10.8x FY26 EBITDA); equity value $460.4M after net debt of -$35.1M. Terminal value is 69% of EV.
- Model integrity: ALL CHECKS PASS — balance sheet balances in all 9 periods and FY26 ties to the FP&A; pack.





Financial summary and scenarios

USD	FY24	FY25	FY26	FY27	FY28	FY29	FY30	FY31
Revenue	$148.0M	$160.0M	$171.7M	$185.5M	$199.4M	$213.3M	$226.1M	$237.5M
growth	8.5%	8.1%	7.4%	8.0%	7.5%	7.0%	6.0%	5.0%
EBITDA	$35.8M	$38.4M	$39.6M	$43.5M	$47.3M	$51.3M	$54.8M	$57.8M
margin	24.2%	24.0%	23.0%	23.4%	23.7%	24.0%	24.2%	24.3%
Net income	$25.8M	$28.2M	$29.3M	$32.7M	$35.9M	$39.3M	$42.4M	$45.0M
Free cash flow	$26.0M	$26.6M	$26.8M	$30.3M	$33.7M	$36.6M	$40.5M	$43.0M
Closing cash	$25.7M	$37.0M	$48.1M	$54.8M	$62.9M	$70.9M	$86.0M	$102.0M
Net debt ÷ EBITDA	-0.13x	-0.52x	-0.89x	-1.05x	-1.22x	-1.38x	-1.57x	-1.77x

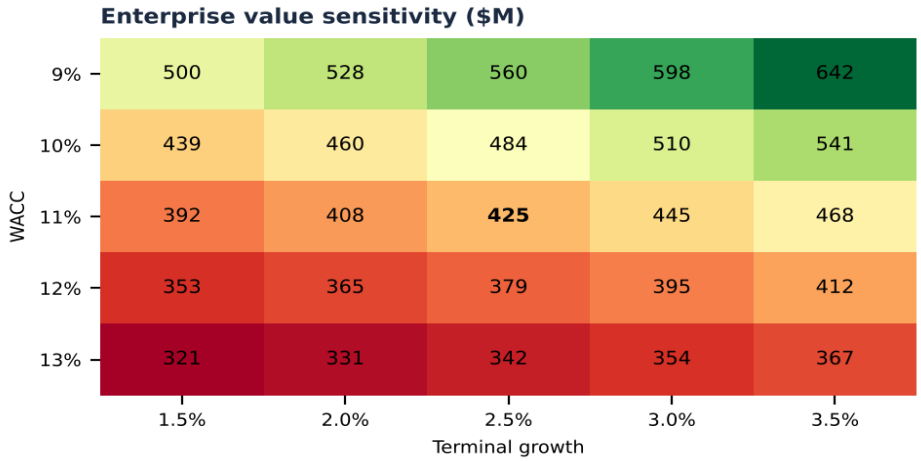
Scenario comparison

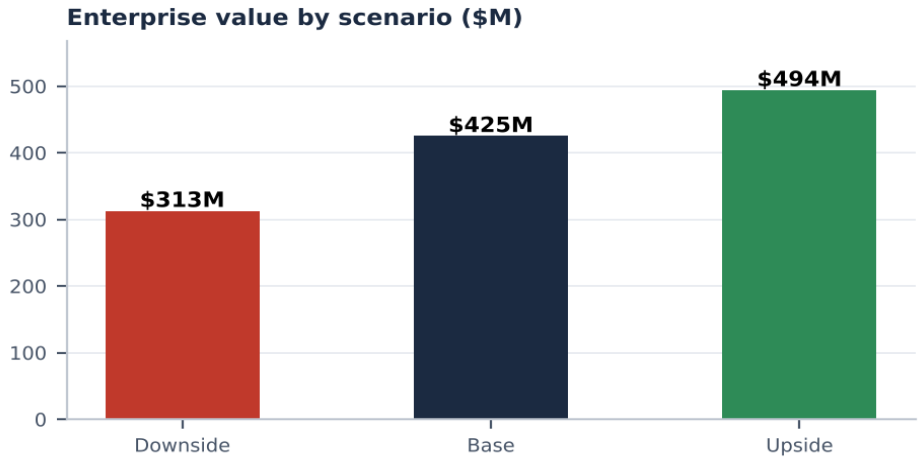
Scenario	FY31 revenue	FY31 EBITDA mgn	5-yr FCF	Enterprise value	Equity value	EV / FY26 EBITDA
Base	$237.5M	24.3%	$184.2M	$425.3M	$460.4M	10.8x
Upside	$261.7M	25.5%	$206.9M	$494.1M	$529.2M	12.5x
Downside	$197.2M	21.5%	$141.3M	$312.8M	$347.9M	7.9x

Scenario drivers (FY27 → FY31)

Driver (FY27→FY31)	Base	Upside	Downside
Revenue growth	8.0% → 5.0%	10.5% → 6.5%	3.0% → 3.0%
Direct cost % revenue	61.2% → 60.6%	60.8% → 59.8%	61.9% → 62.5%
Opex % revenue	15.4% → 15.1%	15.2% → 14.7%	15.7% → 16.0%
DSO (days)	56 → 54	54 → 51	62 → 65

Valuation sensitivity





- Base-case enterprise value is $425.3M; the sensitivity grid spans $321.1M (WACC 13%, g 1.5%) to $641.8M (WACC 9%, g 3.5%).
- Each 1 pt change in WACC moves EV by about 12%; each 0.5 pt of terminal growth moves it by about 4%.
- Exit-multiple cross-check (9.0x FY31 EBITDA) gives EV within 3% of the Gordon-growth value — the two methods corroborate each other.
- Scenario range: Downside $312.8M · Base $425.3M · Upside $494.1M.

Risks, actions and model control

Principal risks

- Terminal value is 69% of EV — valuation is sensitive to long-run margin: ±1 pt of WACC moves EV by roughly 12%.
- Downside case (growth 2–3%, margin pressure, DSO 65 days) cuts EV to $312.8M (−26% vs Base).
- Cash accumulates faster than it is deployed (payout 60%) — capital-allocation policy (M&A;, buy-back, debt-free balance sheet) is a board decision.
- Revenue assumptions lean on Data & Analytics gaining share; pricing inflation of 2–4.5% a year by product is embedded in history.

Recommended actions

- Approve Base case as the planning scenario and track Downside triggers (growth < 4%, DSO > 60 days) monthly.
- Set a minimum-cash / dividend policy: hold ~$30M operating cash, return or invest the surplus.
- Stress-test margin: each 1 pt of EBITDA margin in FY31 is worth roughly $17.0M of EV.
- Refresh the model quarterly from the FP&A; pack; scenario switch lives on 01_Exec_Summary!C4.

Model integrity — 12 checks

Check	Result
Balance sheet balances — all years (sum of |check|)	PASS
Closing cash on balance sheet = cash-flow closing cash (FY31)	PASS
Retained earnings roll-forward (FY27–31): ΔRE = NI − dividends	PASS
Net income on IS = net income on CF (FY24–FY31 total)	PASS
Minimum closing cash across years ≥ 0 (shows 0 if OK)	PASS
Term debt never negative (shows 0 if OK)	PASS
WACC exceeds terminal growth (1 = yes)	PASS
DCF sensitivity centre = enterprise value	PASS
FY26 revenue ties to FP&A pack (tolerance $25)	PASS
FY26 EBITDA ties to FP&A; operating income (tolerance $25)	PASS
Revenue build by product = by region (FY26)	PASS
Sum of FY24–26 revenue: build vs assumptions	PASS